Absorbing Transition DID Results: AKM Restatement Bad — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.065*		0.058*		0.053
		(0.035)		(0.031)		(0.034)
× Voluntary Rotation		0.039***		0.037***		0.013*
		(0.009)		(0.007)		(0.007)
Pooled	0.034***		0.035***		0.010	
	(0.007)		(0.006)		(0.006)	
Mandatory − Voluntary		0.026		0.021		0.040
Difference p-value		0.465		0.504		0.245
Observations	42,665	36,736	42,665	36,736	42,665	36,736
Firms	5,243	4,948	5,243	4,948	5,243	4,948
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.054		0.053		0.057
		(0.052)		(0.051)		(0.052)
× Voluntary Rotation		0.046***		0.045***		0.013
		(0.012)		(0.010)		(0.009)
Pooled	0.049***		0.043***		0.021**	
	(0.012)		(0.009)		(0.010)	
Mandatory − Voluntary		0.008		0.008		0.045
Difference p-value		0.883		0.879		0.393
Observations	25,749	24,117	25,749	24,117	25,749	24,117
Firms	3,071	3,044	3,071	3,044	3,071	3,044
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.037**		0.032**		0.015
		(0.016)		(0.013)		(0.013)
× Voluntary Rotation		0.033***		0.032***		0.009**
		(0.006)		(0.005)		(0.005)
Pooled	0.043***		0.046***		0.011***	
	(0.005)		(0.004)		(0.004)	
Mandatory − Voluntary		0.004		0.000		0.006
Difference p-value		0.808		0.990		0.687
Observations	48,051	41,699	48,051	41,699	48,051	41,699
Firms	5,521	5,247	5,521	5,247	5,521	5,247
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.039***		0.032**		0.018
		(0.015)		(0.013)		(0.012)
× Voluntary Rotation		0.035***		0.035***		0.010**
		(0.005)		(0.004)		(0.004)
Pooled	0.043***		0.046***		0.011***	
	(0.005)		(0.004)		(0.004)	
Mandatory − Voluntary		0.004		-0.003		0.008
Difference p-value		0.781		0.849		0.551
Observations	49,904	43,422	49,904	43,422	49,904	43,422
Firms	5,521	5,286	5,521	5,286	5,521	5,286
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.